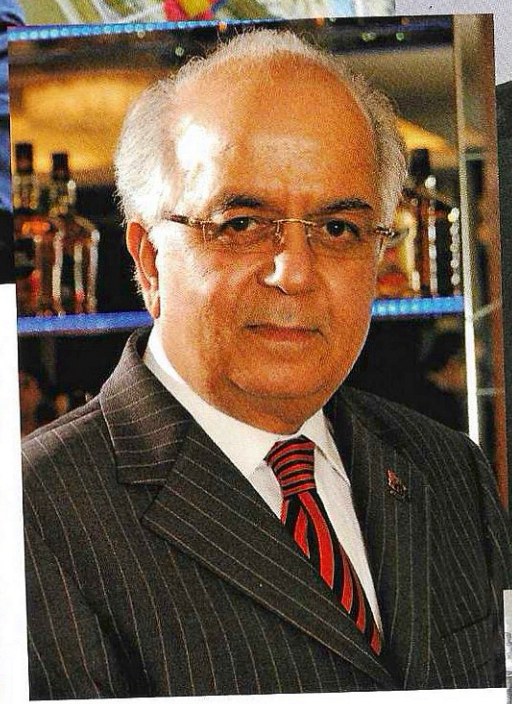


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FOCUS IS EVERYTHING

AJAY SRINIVASAN,
CHIEF EXECUTIVE, FINANCIAL SERVICES,
ADITYA BIRLA GROUP

In my role as Chief Executive, Financial Services, it's up to me to set the vision and provide strategic direction and leadership for my Group's Financial Services business which covers several verticals such as life insurance, fund management, private equity, wealth management, retail broking, capital markets based lending, corporate financing and general insurance broking. Both the life insurance and mutual fund have become top 5 businesses in the last two years beating industry growth by a large margin. But success has to be worked hard at. It's not just the figures that contribute to the bottom line, but how you arrive at those figures. Qualitatively.

TIME is your most precious asset. The way the CEO utilizes and allocates time determines the efficiency and effectiveness of a CEO. If you spend time on a certain issue, it implies the issue is important and people down the line get the message that the issue in question is an important one. The way you utilize time is not just good utilization of your own resource but also a good signaling device of what is really of value to the company. The most effective people make the best use of time.

PEOPLE-ORIENTED: It is very important for a CEO to make sure that he's not only got the right people on board but also that the right people are in the right job. You need to ensure that you've created an environment where people are empowered and motivated to deliver what you are asking for. The processes and systems need to give them the decision-making power to do the right job.

RISK AWARENESS: A CEO should have a clear



idea of the risk appetite of the share holders, and what is being done to mitigate that risk. He needs to have a holistic understanding of the impact of events to the enterprise and ensure there are strategies to deal with the risk. Risk could be in multiple areas and financial risk is just one of them. So if I make an investment that doesn't do well then the company is at a financial risk. Reputational risk: things that I do may not have direct financial impact today but will gradually chip away the reputation of the franchisee you are building. There could be regulatory or compliance risk, as well, where things that I am doing may ultimately impact the regulations that I am operating over here. Essentially, risk has various facets and all of which you need to ensure that you understand. Our business is a business of trust. In financial services, I don't have a product that I'm selling where my customers can touch, feel and vote for the best. I am selling you a promise, an intangible good of which the core ingredient is trust. If I'm selling you trust I need to make sure I am keeping that trust. Therefore, risk becomes very critical from that perspective.

BE CUSTOMER-ORIENTED: CEOs must be in touch with their direct customers to get a good sense of their mood and requirements. It's important to know what they like about what you are doing and not doing. You need to respond to their thoughts, their views and sometimes also certain events in their lives. I travel to the branches to not only see my employees but to meet some customers, too. It gives you a real understanding of customer needs. Sometimes I drop in to our call centre and listen to customer calls to gauge the mood of the customer in terms of products and services. You need a regular feedback mechanism to know where your customers are and what they are thinking of.

SET THE TONE FOR CULTURE AND VALUES: The CEO plays a very significant role here. These are elements usually put on notice boards, letters or told to people but nobody knows what they mean. So if I'm saying I'm running an open and transparent organization, it's a set of words that I say to you and we both have different understanding of it. It will only be felt if it takes place with certain set of processes, reward and recognition systems. That's how cultures and values get embedded in an organization. If I run an open organization I have to create processes and let people know that I can be reached through phone, via email or they could simply walk in any time. As a CEO you need to set the tone for what you want to stand for as an organization both in terms of culture and values. You need to make sure your processes and systems

recognize or punish that. If I find that there is a fantastic performer but he is not living up to the culture and values of the organization then we need to be prepared to either reward or punish him based on our value-
settings. A CEO needs to ensure that there is a balance and also make his co-workers aware of this balance. But some aspects are non negotiable like ethics, integrity, seamlessness. For example, when I was working with my previous organization, I was the CEO for ten countries. I spotted several cultural differences. When I went to Japan, for instance, I was younger than the guy running the Japanese business. And in the western system that's never a problem in terms of reporting. He was an educated Japanese so it didn't matter to him when it was internal functioning. But when I had to go out with him to meet customers, he was clearly ill at ease because all his contemporaries were typically working with people who were older than them. So I could see his discomfort. I offered to go and meet the customers with his direct reports and assured him that this was the best solution. As a CEO, you need to feel the nuance of the culture so that people don't feel threatened and you get the job done.

INDUCE A CULTURE OF NO SURPRISES- This is partly a function of communication. The board of directors of any organization is broadly up to date with any issues that you have, you never spring a surprise on them. You should always maintain a continuous dialogue with the board. So if there's good news you let them know, if there's bad news you let them know that as well. It works the same way with employees and customers. The ability to communicate and make them a partner in what you are doing is a significant tool in terms of what you can get out of people. So if you are sitting in Patna, you know what goals you need to achieve, the tools and techniques to achieve it, and you feel your voice is heard in terms of contributing to the process then you are a much more willing participant in that journey than if I tell you 'don't worry, you take care of the sales in Patna and leave the rest to us.' I think engaging employees is crucial in the communication channel.

WORKING WITH TEAMS: The most value comes when you can build a disparate team. You should incorporate associates with varied experiences and perspectives who will have the ability to contribute very differently to the discussion. My own personal style is one which entails a lot of discussion and debate, though ultimately the decision is mine. This also expands your thinking and leads to better decisions. A CEO should welcome a slight bit discord as it gets the right amount of uneasiness to enhance the quality of your discussion. I consider my people as my intellectual property,

As a CEO, you need to feel the nuance of the culture so that people don't feel threatened and you get the job done



my biggest asset and the only way to leverage it is to listen to what they have to say.

DECISION-MAKING: In this job I have to take decisions that are difficult and unpleasant but I have to be true to myself; I have to be sure what I'm doing is right. I believe each individual's moral compass will tell them what's right or wrong. I'm only answerable to myself. My advice is take a decision where you are true to your conscience because that is your best judge. Not everything you do will be palatable; but then you are not participating in a popularity contest

MACRO VS. MICRO VIEW: Do all of this with a clear sense without getting pulled deep into the system and losing your broader perspective. Always have a little bit of detachment and fun while you are getting the job done. If you don't, then you may miss out on seeing things that otherwise you can. Sometimes, if you sit back and look at things from the outside then you are able to take better decisions, too. In a crisis situation, do not immerse yourself in the situation and consider yourself to be a victim of it. You rather stay detached, move away from it, get a third-eye perspective and you are certain to get better solutions.

As told to **RAMA SREEKANT**